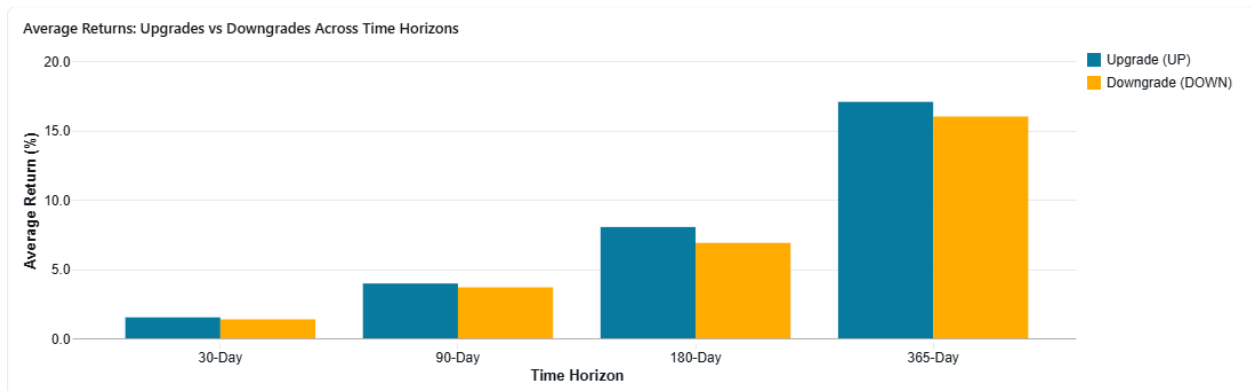


Upgrades vs Downgrades: Average Return Comparison

Upgrades slightly outperform downgrades across all time horizons, but the difference is surprisingly modest. At the 365-day horizon, upgrades (UP) deliver an average return of **17.1%** compared to **16.0%** for downgrades (DOWN) — a difference of just 1.1 percentage points.



Key Findings

Consistent but Small Outperformance:

Upgrades outperform downgrades at every time horizon, but the gap is narrow:

- **30-Day:** 1.5% (UP) vs 1.4% (DOWN) — 0.1 percentage point difference
- **90-Day:** 4.0% (UP) vs 3.7% (DOWN) — 0.3 percentage point difference
- **180-Day:** 8.0% (UP) vs 6.9% (DOWN) — 1.1 percentage point difference
- **365-Day:** 17.1% (UP) vs 16.0% (DOWN) — 1.1 percentage point difference

The gap widens slightly over longer time horizons but remains relatively small.

Both Actions Show Positive Returns:

Surprisingly, **both upgrades and downgrades are followed by positive average returns** across all time periods. This suggests that analyst actions may be reactive to recent price movements or that the broader market trend during the data period was positive. The median 365-day return is 7.8% for upgrades and 5.3% for downgrades.

Similar Distribution Patterns:

The distribution of 365-day returns is remarkably similar for both upgrades and downgrades. Both show the highest concentration in the 0-25% return range (5,802 upgrades vs 5,670 downgrades), and both have comparable proportions in extreme return buckets. This similarity suggests that the action type (upgrade vs downgrade) has limited predictive power for future returns.



Sample Size:

The analysis is based on 13,129 upgrades and 12,909 downgrades with 365-day return data, providing a robust sample for comparison.